

Ethnicity and Public Goods

Last class...

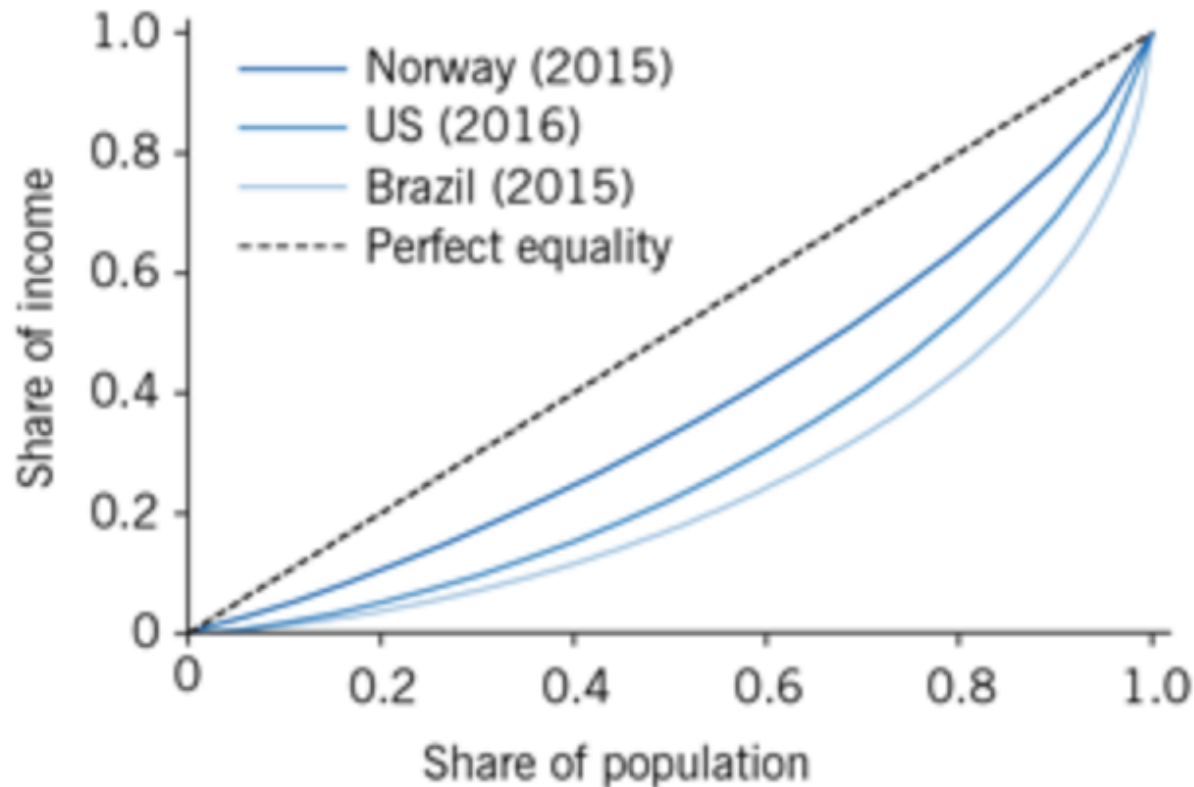
- Examined patterns of inequality
- Asked why those patterns arise
- Considered Gini index as inequality measure
- Redistribution as a political mechanism
- Theorized two causes of redistribution:
 - Number of parties
 - Veto rules

Agenda for today

- 1) Finish our consideration of testing hypotheses
- 2) Think about other explanations (ethnicity)
- 3) The mechanisms of ethnicity and inequality
- 4) Interpreting tests

First—which country has the highest inequality?

Lorenz curves show income inequality is higher in Brazil than the US and Norway



The Scientific Method applied to politics

- 1) Observe the world
- 2) Ask a question
- 3) Theorize the answer
- 4) Derive testable hypotheses
- 5) Collect evidence to
- 6) Test the hypotheses
- 7) Evaluate results
- 8) Repeat

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Testing a hypothesis requires that we

- Define a unit of analysis
 - Person? State? Country? Ethnic group?
 - Where things can vary
 - (Where we can feasibly measure variables)
- Gather data (i.e., evidence)
 - Our focus: quantitative data
- Measure independent and dependent variables
- Make a comparison of dependent variables (DV)
 - Between different values of the independent variable
 - Summarize the relationship: how variation in the IV relates to variation in the DV
 - (1) Difference means, OR (2) correlation coefficient

Types of relationships

Direction:

- Null
 - No relationship
- Positive
 - Increases in the independent variable are associated with increases in the dependent variable
- Negative
 - Increases in the independent variable are associated with decreases in the dependent variable

Types of relationships

Statistical significance:

- Not statistically significant

- Under the null hypothesis of no relationship between the IV and DV, it's very likely to observe a relationship as extreme as the one we observe.
- → Fail to reject the null hypothesis.

- Statistically significant

- Under the null hypothesis of no relationship between the IV and DV, it's very unlikely to observe a relationship as extreme as the one we observe.
- → Reject the null hypothesis.

We never “confirm” a hypothesis.

Types of relationships

Substantive magnitude/meaningfulness:

- Not substantively meaningful
 - The size of the relationship is not large.
- Substantively meaningful
 - The size of the relationship is large.

Largely subjective.

Correlation isn't causation...

- So, you find a relationship...
 - A difference in means that is statistically significant
 - A correlation that is statistically significant
- Is that the same as a causal effect?
- Could something else be going on that causes BOTH the IV and the DV

Example: Correlation between ice cream eating and homicide

But... institutions are stable and inequality is not



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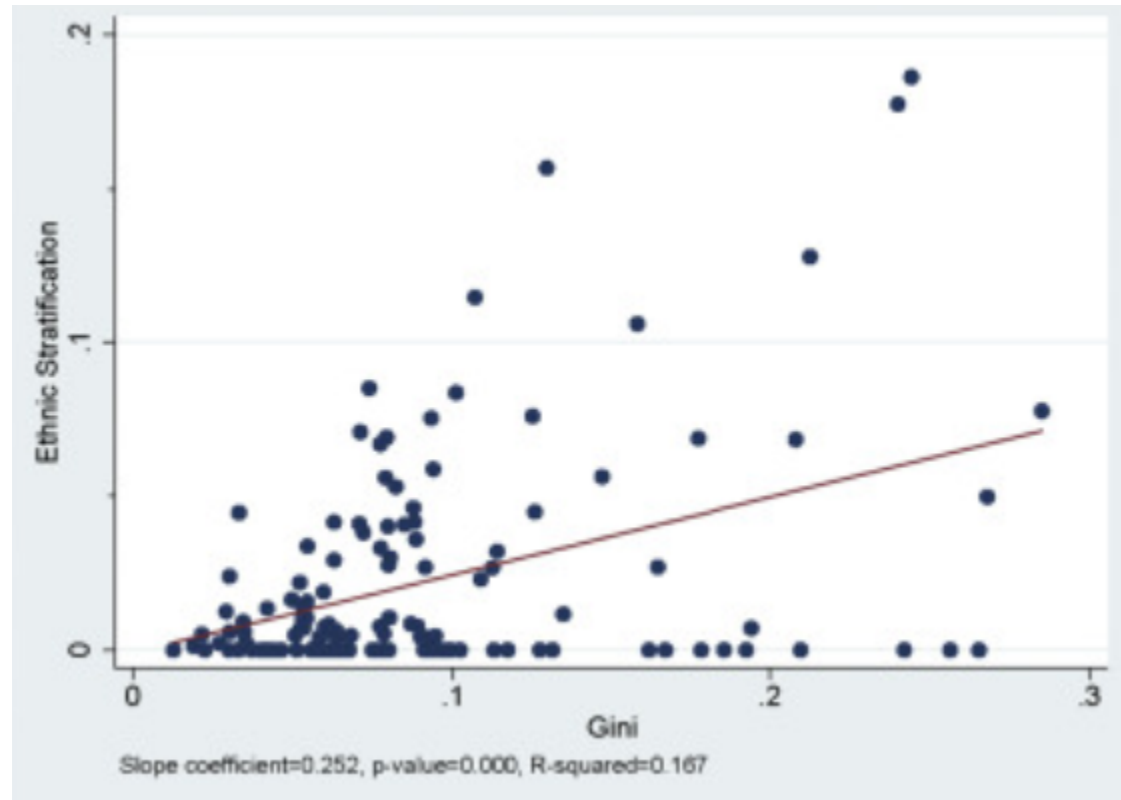
Other Factors

- Do people want redistribution?
- Changing demographics
- Turnout
- Beliefs about luck versus merit
- Money in politics
- Diversity

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Ethnicity and public goods cross-national



Inequality US counties

